PUT–CALL FORWARD PARITY AND OPTION APPLICATIONS

Learning Outcome

- explain put–call *forward* parity for European options

Forward commitment replication was shown in earlier lessons to involve borrowing at the risk-free rate to purchase the underlying in the case of a long position or selling the underlying short and lending the proceeds at the risk-free rate for a short position. We also showed that a long underlying position combined with a short forward resulted in a risk-free return. We now incorporate these forward commitment building blocks into the put–call parity relationship shown in the prior lesson.

Category

Option Replication Using Put-Call Parity

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